



Not everything is hunky dory in the world of drop shipping. Better to make an informed decision than jump in blindly

find the right supplier. Find the vendor who is willing to brand and ship even a single unit of the product and you can e-commerce the crap out of it.

So what's wrong with this idea then, you ask? Ahh, the sceptic in you rears its ugly head. But that's good. Better the evil you know than the one you don't.

Cons

With greater ease comes lower margins. That's the bane of this model. Since you are outsourcing most of the work, you will be charged for most of the work. Your purchase price will be higher than if you had bought in bulk or manufactured it yourself. And market forces put a cap on your selling price. So you have to work on lower margins. Sorry, but that's just how the dice rolls. Finding a niche or a super speciality product is a good way to stay ahead of the competition and command your price.

Out of stock, out of customer's favour. Since you don't control the inventory, you run the risk of promoting an out of stock product. Your vendor would have other clients, e-commerce websites or otherwise, that they are catering to. It could happen that the vendor has just sold the last piece of that GoT t-shirt you have been running an offer on and a customer on your site just ordered it. You can mitigate this risk by syncing your store with the vendor's inventory but some glitches are unavoidable. You just need to roll with the punches.